

Porter's Five Forces Model Of Competition

Porter's five forces analysis is a framework that attempts to analyze the level of competition within an industry and business strategy development.

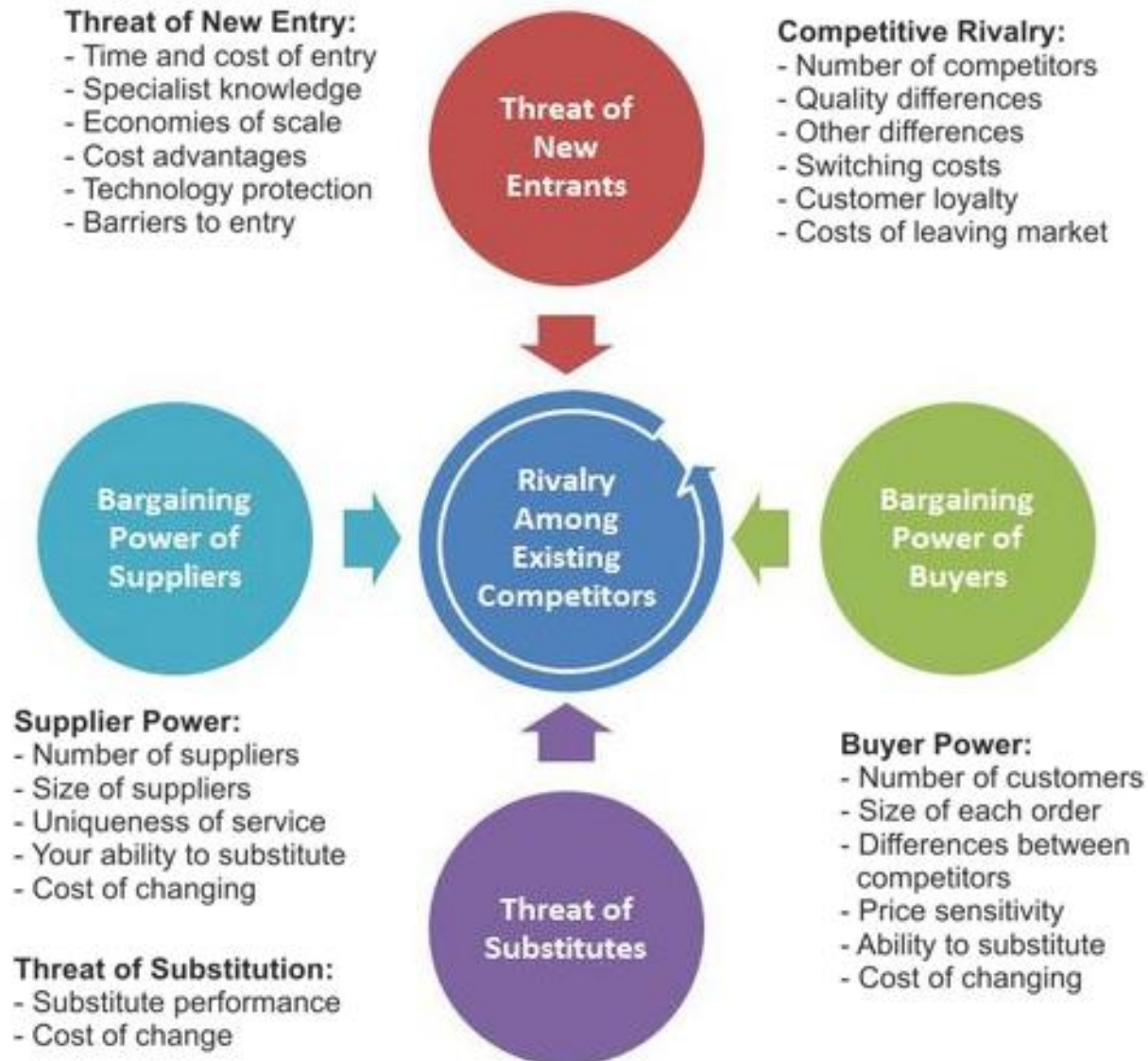
It draws upon industrial organization (IO) economics to derive five forces that determine the competitive intensity and therefore attractiveness of an Industry.

Attractiveness in this context refers to the overall industry profitability. An "unattractive" industry is one in which the combination of these five forces acts to drive down overall profitability.

- ❖ Threat of new entrants
- ❖ Threat of substitutes
- ❖ Bargaining power of buyers
- ❖ Bargaining power of suppliers
- ❖ Rivalry inside the industry



Five Forces Analysis (Porter)



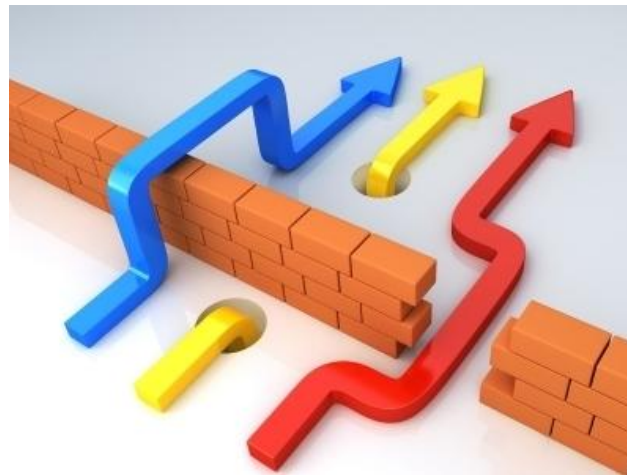
1. Threat of new entrants

The market is full of competition. Not only the existing firms pose threat to the business, but the arrival of new entrants is also a challenge.

As per the ideal scenario, the market is always open for entry and exits, resulting in comparable profits to all the firms.

But, this is not applicable in the real picture market.

In reality, all industries have some traits that protect their high profits and help them in warding off potential new entrants by erecting barriers



2. Threat of substitutes

The substitutes can be defined as the products of other industries that have the ability to satisfy similar needs.

Example: Coffee can be a substitute for tea, as it can be also used as a caffeine drink in the morning.

When price of a substitute product changes, the demand of a related product also gets affected.

When the number of substitute product increases, the competition also increases as the customers have more alternatives to select from. This forces the companies to raise or lower down the prices. Hence, it can be concluded that the competition created by the substitute firms is 'price competition'.



3. Bargaining power of buyers

This has an important effect on the manufacturing industry.

When there many producers and there is a single customer in the market, then that situation is called as 'monopsony'.

In these markets, the position of the buyer is very strong and he sets the price. In reality, only a few monopsony markets exists.

The bargaining power of the buyers compels the firms to reduce the prices and may also demand a product or service of higher quality at low price.



4. Bargaining power of suppliers

Since the company needs raw material for producing, therefore the producers have to build a relationship with its suppliers.

When suppliers have the power in their hands, they can exert influence on the producing firms by selling them raw materials at higher prices.

Example: Wal-Mart as an organization thrives on the basis of its relationship with its suppliers.

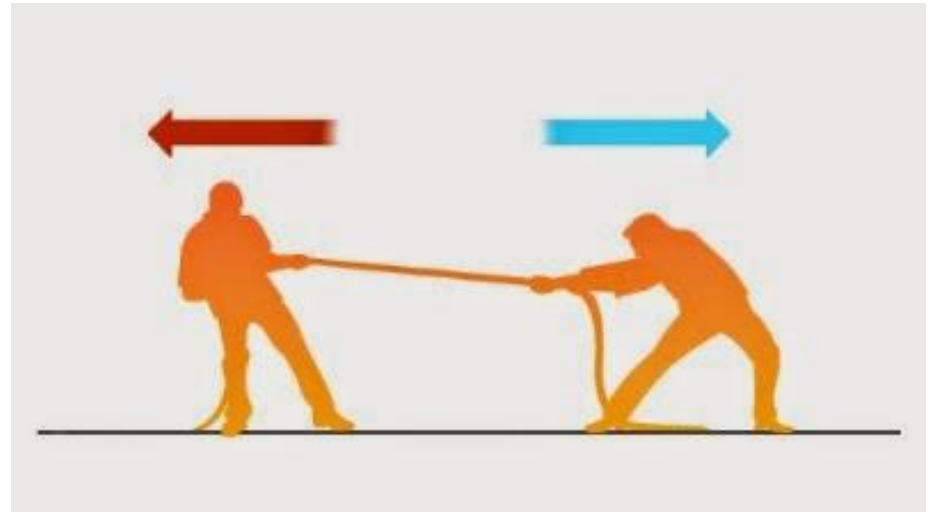


5. Rivalry inside the industry

For most industries the intensity of competitive rivalry is the major determinant of the competitiveness of the industry.

Potential factors:

- Sustainable competitive advantage through innovation
- Competition between online and offline companies
- Level of advertising expense
- Powerful competitive strategy
- Firm concentration ratio
- Degree of transparency



THANK YOU